How Does Energy Dependence Create Leverage?

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In the fall of 1973 U.S. gas stations ran dry. Arab producers had cut their output and stopped selling oil to the United States.

YOUR IB VOICE

EXPLAIN THE CHANGE

In 1967 Saudi Arabia cut its oil exports and lost only revenue and customers. In 1973 Arab producers cut their output, and the price of oil soon nearly quadrupled. What had changed between 1967 and 1973 that gave the producers leverage?

10 minutes · Individual · Notes permitted

Why did the oil weapon work in 1973 when it had failed in 1967?

By 1973 the United States had no spare oil to pump.

Saudi Arabia had become the supplier the rest of the market depended on.

The war gave Faisal a cause he could not refuse.

The oil companies no longer controlled the price.

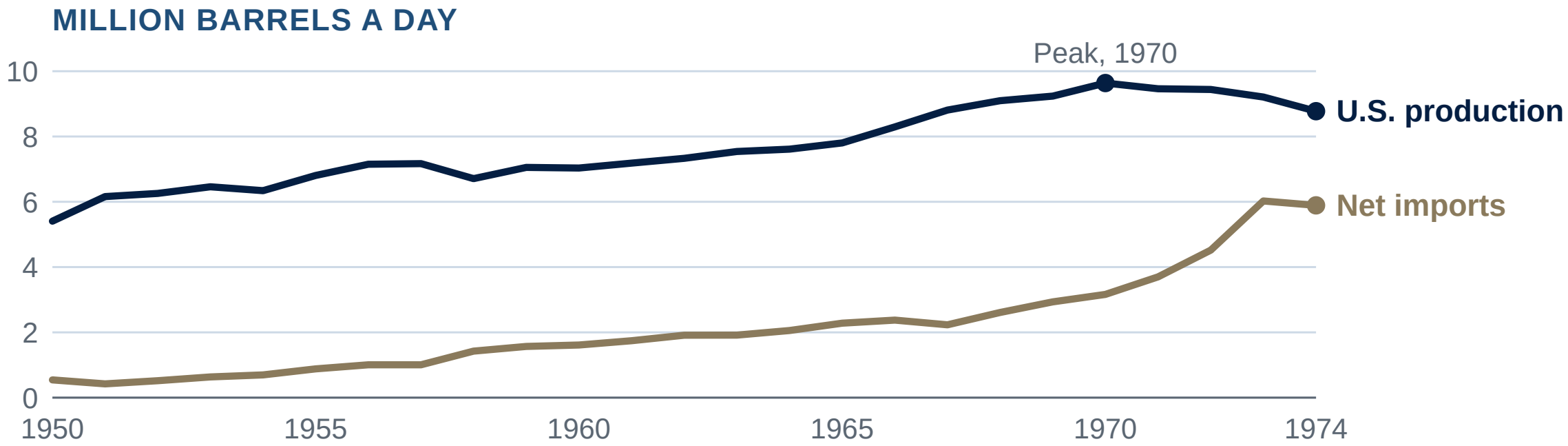
> Which of these would still hold if Texas could have pumped two million more barrels a day?

Why did the oil weapon fail before 1973?



In 1972 King Faisal said it was “dangerous even to think of” using oil as a weapon. His kingdom depended on the United States for its security.

By 1970 U.S. wells were pumping all they could



U.S. Energy Information Administration, *Monthly Energy Review*, 2026, Table 3.1: crude oil production and net petroleum imports.

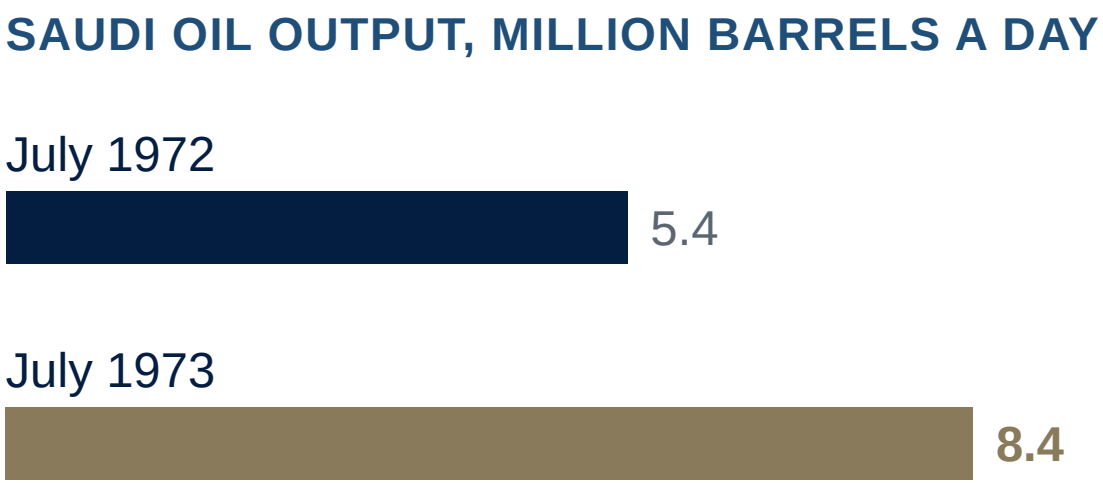
When Arab exporters cut supply in 1967, Texas and Louisiana pumped more. After 1970 every extra barrel the United States used came from abroad.

> *Energy dependence* is the share of a country's oil use that it must buy from abroad.

Saudi Arabia became the swing producer

By 1973 Texas had no spare capacity left, so the Gulf supplied the extra barrels the world needed.

Saudi Arabia's share of world exports rose from 13 percent in 1970 to 21 percent in 1973.



Yergin, *The Prize* (2008), ch. 29.

> *Spare capacity* is oil production that can be brought online within 30 days and sustained for at least 90 days.

Faisal changed his mind in early 1973. Was it because the oil market had changed, or because Sadat and Arab opinion pressed him?

> Would Faisal have used oil as a weapon in 1973 if Texas still had oil to spare?

How did the producers use their leverage?

Sadat went to war to break a stalemate

Sadat wanted a crisis that would force negotiations more than he wanted territory.

In August 1973 he told Faisal of the attack, and Faisal promised to use oil.

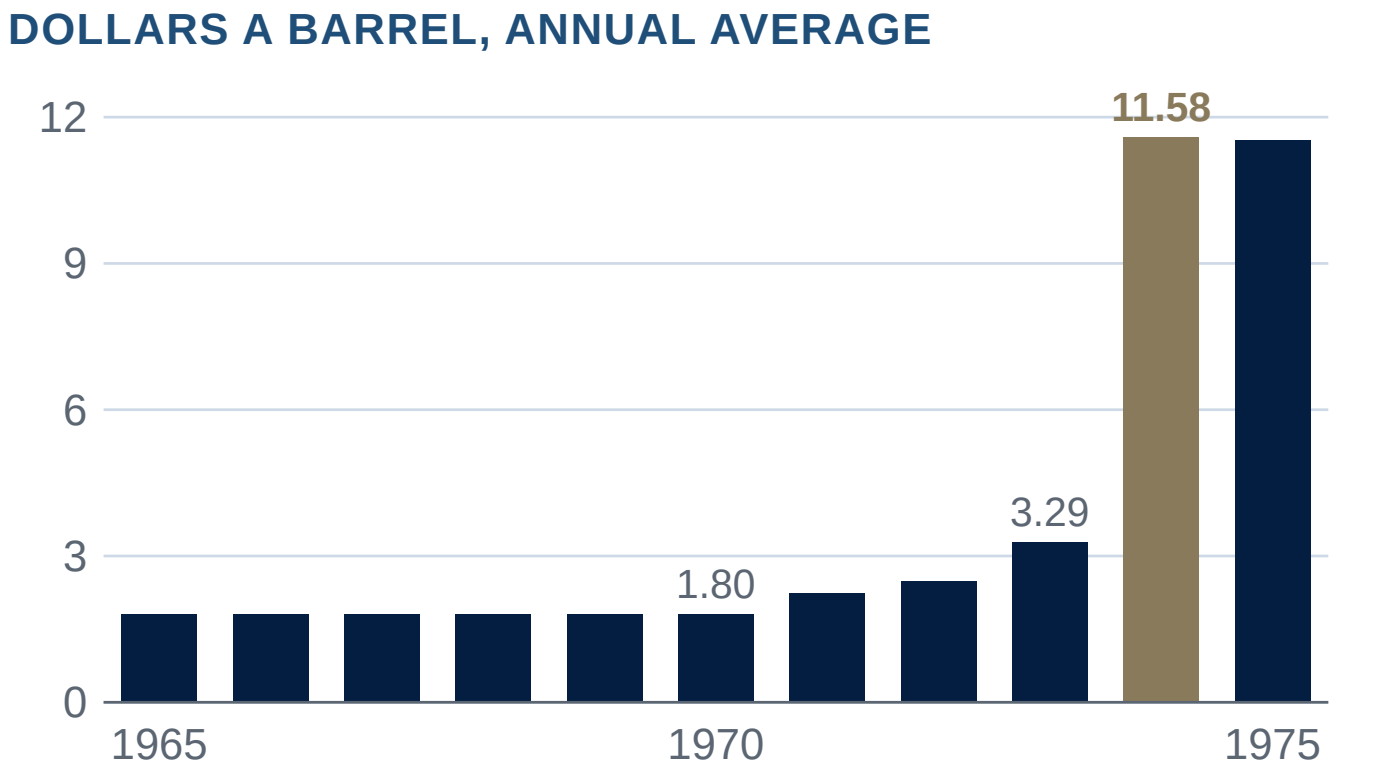
> Faisal wanted the fighting to last long enough “for world opinion to be mobilized.”



Unknown photographer, *Anwar Sadat, 1973* · Wikimedia Commons, public domain.

The exporters took the price from the companies

On October 16 the Gulf producers raised the posted price 70 percent without the companies. “We are masters of our own commodity,” said Saudi Arabia’s Ahmed Zaki Yamani.



Energy Institute, *Statistical Review of World Energy*, 2026: crude oil prices since 1861, via Our World in Data.

> A *supply shock* is a sudden loss of supply that buyers cannot quickly replace.

A public airlift turned price talks into embargo

- **Oct. 6** Egypt and Syria attack Israel
- **Oct. 14** U.S. airlift lands in daylight
- **Oct. 16** Gulf producers raise price 70%
- **Oct. 17** Arab output cut 5% a month
- **Oct. 19** U.S. proposes $2.2 billion aid
- **Oct. 20** Saudi Arabia cuts off the U.S.

Crosswinds in the Azores delayed the U.S. airlift, so it landed in Israel in daylight.

The day after Nixon requested $2.2 billion for Israel, Saudi Arabia cut off the United States.

Yergin, *The Prize* (2008), ch. 29.

> Yergin argues the public show of support gave Faisal his reason to act.

The producers ranked their customers



European Commission, *Visit of Belaid Abdessalam and Ahmed Zaki Yamani to the CEC*, 1973 · Wikimedia Commons, CC BY 4.0.

Arab ministers cut output each month but spared “friendly states,” setting consumers against one another.

A ban on one country leaks because oil can be resold, but a cut in supply reaches every buyer.

> *Producer leverage* is a supplier’s power over buyers who cannot replace what it withholds.

In May 1973 Aramco’s owners urged the U.S. government to change its Middle East policy. In October the Saudis told Aramco to enforce the embargo. Whose side were the oil companies on?

> What can a firm do when its host state and its home state want opposite things?

Does the oil weapon still work?

Oil is sold in one worldwide auction

THE OIL AUCTION

Tight market — **Price rises**

Demand is high or supply is low; buyers must outbid each other.

Loose market — **Price falls**

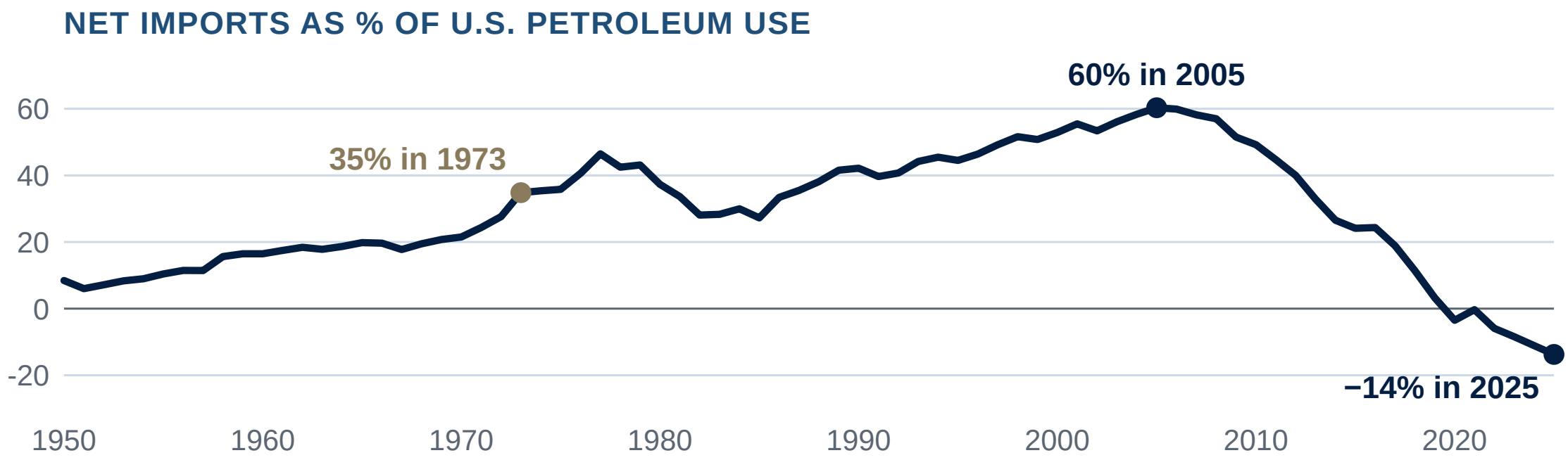
Demand is low or supply is high; buyers wait for cheaper oil.

U.S. Energy Information Administration, *Oil prices and outlook*, 2026.

Thousands of trades around the world set the price of oil. A buyer cut off from its supplier bids for oil that was going to someone else.

> In a tight market, a shortage anywhere raises the price everywhere.

The United States now sells more oil than it buys



U.S. Energy Information Administration, *Monthly Energy Review*, 2026, Table 3.1: net imports divided by products supplied.

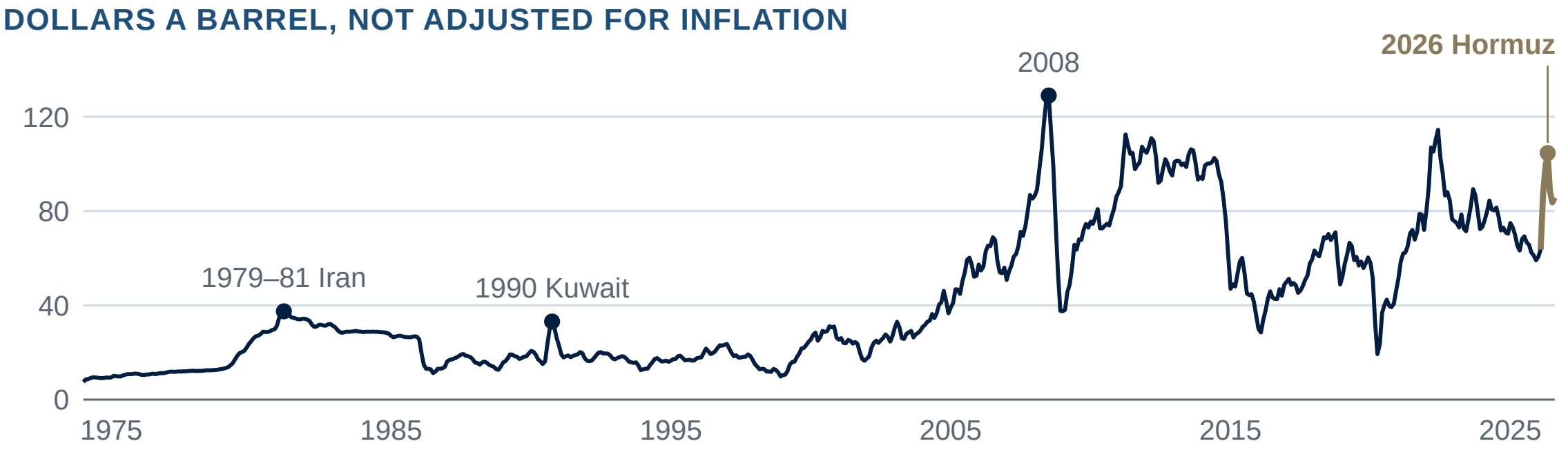
Dependence on imports kept rising for three decades after the embargo and ended only with the shale boom.

> Ending dependence on imports did not end exposure to the world price of oil.



On February 28, 2026, the United States and Israel struck Iran. Iran closed the Strait of Hormuz, which carried a fifth of the world’s oil.

Oil prices jump when supply is cut



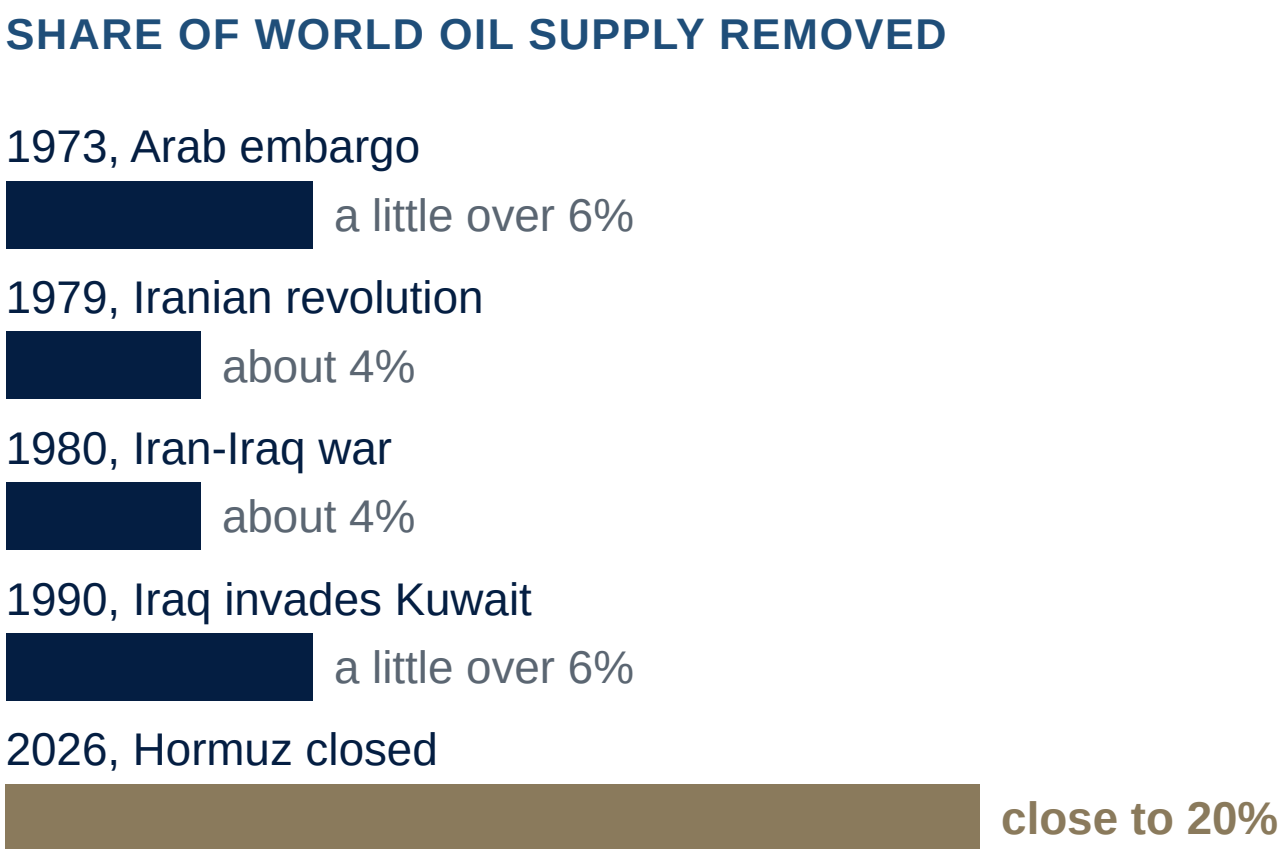
U.S. Energy Information Administration, *U.S. Crude Oil Composite Acquisition Cost by Refiners*, monthly, 2026.

The price doubled between July and October 1990 after Iraq invaded Kuwait. It rose 64 percent between February and May 2026.

> *Price inelasticity* means that in the short run, buyers and producers change little when the price moves.

Hormuz removed far more oil than the embargo

In 1973 the producers cut their own output. In 2026 Iran blocked the exports of its neighbors, including Saudi Arabia, Iraq, Kuwait, and the UAE.



Kilian, Plante, and Richter, *What the Closure of the Strait of Hormuz Means for the Global Economy*, Federal Reserve Bank of Dallas, 2026.

> Buyers adjust slowly, so a loss this large must be met by higher prices or stockpiles.

The world’s spare oil was behind the strait

0.27

million barrels a day of spare capacity was left to OPEC+ in September 2026

In January it had 4.35 million, three-quarters of it in Gulf states that ship through the strait.

> Spare capacity protects buyers only if it can reach them.

Buyers now keep their own spare oil

IEA EMERGENCY STOCK RELEASES, MILLION BARRELS



International Energy Agency, *IEA collective action*, 2026; CORES, *Release for consumption*.

Consuming countries founded the International Energy Agency in 1974 so that no buyer would face the next embargo alone.

In March 2026 its members agreed to release a record 400 million barrels.

> Emergency stocks are spare capacity that the buyers own.

In October Iran offered to reopen the strait if the United States lifted, among other things, its blockade of Iranian ports and its sanctions on Iranian oil. How does Iran’s leverage compare with Faisal’s in 1973?

> What can the buyers of Gulf oil do in 2026 that they could not do in 1973?

Where is your industry exposed to energy?

Find your industry’s energy exposure

1. **Select** one energy input your team’s network cannot run without, such as diesel, jet fuel, natural gas, or electricity.
2. **Diagnose** where it comes from, and what spare supply or stocks exist if one source is cut.
3. **Recommend** one way to reduce the exposure, such as a stockpile, a second supplier, or a different fuel.
4. **Defend** who would hold leverage over your industry in a supply shock.

15 minutes · Industry teams · Diagrams permitted

Which team’s industry is most exposed to an energy supply shock?

> Who would hold leverage over that industry if the shock came?

How does energy dependence create leverage?

Leverage needs a market with no spare oil, as in 1973 after U.S. wells ran flat out.

Saudi Arabia cut supply and ranked its buyers, which set consumers against one another.

The companies that had once set the price ended up enforcing the embargo.

In 2026 the spare oil sat behind the strait Iran closed, so buyers’ stockpiles did the work spare capacity once did.

> On Wednesday, October 28, we ask when energy abundance adds to a state’s power.